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Estate Planning • Elder Law

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Estate Taxation Basics

When someone dies, several different **taxes** can affect what their family actually receives, but most modest and mid-size estates will never pay federal estate tax and will instead encounter state inheritance tax and ongoing income tax issues for beneficiaries. This overview is designed as plain-English education for your estate-planning intake process, not legal or tax advice.

Federal estate tax

The federal estate tax is a transfer tax on the value of what a person owns or controls at death, above a large "exemption" amount. For 2026, the federal estate and gift tax exemption is about $15 million per person, with a top tax rate of 40% on amounts over the exemption.

- Most clients' estates are below this exemption and will not owe federal estate tax, even though they may still face state inheritance or income taxes.
- Married spouses can often "stack" or preserve both exemptions (with proper planning), so a couple may shield roughly $30 million in 2026, subject to future law changes.
- Congress has changed estate-tax exemptions several times and may do so again, so planning must assume the rules could be different in the future.

State inheritance taxes

Florida

Florida has no state inheritance taxes. It does have an Estate Tax but only if the person is subject to federal estate taxes (Estate valued at more than $15,000,000).

Pennsylvania

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Some states impose their own estate or inheritance taxes, separate from the federal system. Pennsylvania uses an **inheritance** tax, which is technically a tax on the beneficiary's right to receive property from a decedent.

- Pennsylvania inheritance-tax rates currently are:
  - 0% on transfers to a surviving spouse (and to a parent from a child age 21 or younger).
  - 4.5% on transfers to direct descendants and lineal heirs (children, grandchildren, etc.).
  - 12% on transfers to siblings.
  - 15% on transfers to all other non-exempt heirs (for example, nieces, nephews, friends, most non-charitable entities).
- Property owned jointly between spouses with rights of survivorship is exempt from Pennsylvania inheritance tax at the first spouse's death.
- Life-insurance proceeds payable by reason of the insured's death are generally exempt from Pennsylvania inheritance tax.

For Pennsylvania families, this means a child inheriting $200,000 might owe $9,000 of inheritance tax at 4.5%, while a sibling inheriting the same amount might owe $24,000 at 12%. Proper planning can sometimes reduce these amounts by directing assets to lower-taxed beneficiaries or exempt recipients such as charities.

Income in respect of a decedent (IRD)

Separate from estate or inheritance taxes, there is ongoing **income** tax on certain assets that have never been taxed during the decedent's lifetime. That category is called "income in respect of a decedent" (IRD).

- IRD is income the decedent had a right to receive before death, but that was not yet actually paid or included in income.
- Common IRD examples include:
  - Traditional IRAs and 401(k)s (pre-tax balances).
  - Unpaid wages, bonuses, or fees.
  - Unpaid interest, dividends, and installment sale payments accrued before death.
- Beneficiaries who receive IRD, such as inherited traditional IRA withdrawals, must generally include it as ordinary income on their own income-tax returns when received.

A key point for planning is that IRD does **not** receive a full step up in basis at death, which is why inherited retirement accounts can still generate significant income tax for children or other beneficiaries.

Capital gains and step-up in basis

For taxable investment accounts and many other assets, the main concern is **capital gains** tax when an asset is sold for more than its "basis" (essentially, its cost plus certain adjustments). When someone dies owning appreciated property, the basis rules often become very favorable for heirs.

- Under Internal Revenue Code Section 1014, most assets included in a decedent's estate receive a new basis equal to their fair market value at the date of death (or alternate valuation date, if properly elected).
- This "step-up in basis" effectively wipes out the unrealized capital gain that accrued during the decedent's lifetime for income-tax purposes.
- After death, if an heir sells the inherited asset for approximately its date-of-death value, there may be little or no capital-gains tax owed.

Why step-up in basis matters

Step-up in basis is often one of the most **powerful** tax benefits in estate planning because it can eliminate decades of built-in capital gains.

- Example: A parent bought stock for $50,000 that is worth $250,000 at death. The basis steps up to $250,000 for the child. If the child sells soon after death for $250,000, there is no capital-gains tax on that $200,000 lifetime appreciation.
- Similar treatment can apply to real estate, brokerage accounts, and other capital assets held at death, assuming they are not IRD and are properly included in the taxable estate.

By contrast, if the same stock were given during life, the donee generally takes a "carryover basis," keeping the original 50,000-dollar basis and potentially paying capital-gains tax on the 200,000-dollar gain when sold. This is why deciding whether to gift or hold appreciated assets until death can have major income-tax implications.

Limits and exceptions

Not all assets qualify for a step-up in basis, and this is where careful coordination with IRD is critical.

- IRD assets, such as traditional IRAs and many deferred-compensation items, generally do **not** receive a step-up in basis and remain taxable as ordinary income to beneficiaries when distributed.
- Certain planning strategies, such as placing assets in specific types of trusts or using lifetime gifts, can unintentionally forfeit a future step-up in basis if not structured correctly.

Thoughtful estate-planning aims to balance estate-tax exposure (for larger estates), Pennsylvania inheritance tax, and the income-tax benefits of maximizing step-up in basis for children and other beneficiaries. Clients should review their plan periodically with qualified advisors as both tax laws and asset values change over time.